

DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO 305 W. Colorado Avenue, P.O. Box 919 Telluride, Colorado 81435 (970) 728-3891	DATE FILED March 5, 2026 7:06 PM CASE NUMBER: 2023CV30044
James F. Lucarelli, et al. Plaintiffs v. The Board of County Commissioners of San Miguel County, Colorado; and the Town of Telluride Defendants	Court Use Only 23 CV 30026 Div: 4
Order of Judgment	

This matter is before the Court on the parties' stipulation for an entry of judgment on Plaintiff's second claim for relief pursuant to CRCP 57. For the following reasons, Plaintiffs' request for their stated declaration is denied.

I. Procedural History and Prior Findings

This case concerns a property owned by San Miguel County and the Town of Telluride in the Diamond Ranch area outside of the Town referred to as "Parcel C." The relevant background of the development of Parcel C and this case is recited in the Court's Order issued August 11, 2025, and is therefore not repeated here.

The Plaintiffs have maintained two claims in this action. First, an Order issued on June 10, 2024, on a claim pursuant to C.R.C.P. 106 that addressed a separate parcel generally known as Sheep Ranch.

Second, the Plaintiffs ask that the Court make the following declarations pursuant to CRCP 57:

(1) Parcel C [is] part of the 1991 DCM PUD and subject to the 1991 PUD Plan's requirements as a matter of both public and private land use control, and (2) to deviate from those requirements, the Defendants must comply with C.R.S. § 24-67-106 and bring a condemnation action pursuant to C.R.S. §§ 38-1-101 et. seq. to clear the 1991 PUD Plan's restrictions from title.

The Court denied the Plaintiff's motion for summary judgment on that second claim in the August 11 Order. The Court found that the Plaintiffs failed to establish that Parcel C is governed by the 1991 PUD.

That of course has left that claim unresolved. The parties now ask the Court to enter an affirmative judgment on that claim pursuant to a set of stipulated facts.

II. Analysis

The parties have filed a set of stipulated facts. The Court adopts those stipulations and those facts are incorporated here. In this analysis, the stipulations are referenced by their respective subparagraph letters. Exhibits are as listed in the parties' stipulation.

Based on those stipulations, the Court concludes that Parcel C is not part of the 1991 PUD, and that the Defendants are not required to comply with section 24-67-106, C.R.S. to clear the 1991 PUD's development restrictions.

In 1991, an entity called Aldosoro Ltd. created a planned unit development (referred to as the "1991 PUD") for a large swath of land outside the town of Telluride that included a subdistrict called the "Sheep Ranch". *Stipulation C.*

In 1994, Aldosoro Ltd. purchased a separate acreage and Parcel C was platted from it in 1995. *Stipulation H.*

Despite the fact that these were physically separate parcels, the Plaintiffs argue that the 1991 PUD's development restrictions and real estate transfer assessment apply to Parcel C.

First, they argue that the 1991 PUD applies based on an express agreement. In 1999, Aldosoro conveyed Parcel C to an entity called Diamond Ranch. In 2000, the Aldosoro sellers entered into a "PUD Assignment Agreement" with the buyers. But as detailed in the Court's August 11 Order, the Agreement does not expressly extend the 1991 PUD's regulations to Parcel C. It clearly did not intend to do so:

All of the Diamond Property *except for Parcel C*...is included within the "Sheep Ranch" and is therefore subject to the provisions of the [1991] PUD Agreement which apply to the Diamond Property.

That Agreement defines acknowledges that Parcel C was not part of Sheep Ranch, and that the 1991 PUD only applied to Sheep Ranch. *Stipulation J; Exhibit H.*

The PUD Assignment Agreement does include this language:

The following provisions of the [1991] PUD Agreement...shall continue to be applicable to the Diamond Property and shall continue to be in full force and effect: Paragraphs 4.1.1, 4.1.3,....

But because Parcel C was not previously governed by the 1991 PUD, it could not “continue” to be regulated by it through the Agreement and the effect of this provision is thus unclear considering that other language in the agreement very clearly excludes Parcel C.

Several other conclusions from the August 11 Order are worth repeating here.

The Town and County note that the PUD Assignment Agreement includes a provision asserting that the Diamond Property would be zoned “Forestry, Agricultural”. Parcel C was previously expressly zoned “Low Density”, and was not expressly rezoned Forestry/Agricultural until 2008. If the Agreement were binding on Parcel C, this later rezone would be meaningless.

The Town and County also note that the deed completing the 1999 conveyance sometimes expressly references Parcel C, and otherwise does not. *Compare*, Exhibit I, para. 6 with Exhibit I paras. 2, 3, 4. To the extent that the deed and the Agreement should be read harmoniously, as they are intended to effect the same transaction, they do not clearly extend the 1991 PUD provisions to Parcel C.

Finally, even if the Agreement could be read to encumber Parcel C, there is no evidence that the PUD Assignment Agreement was adopted or approved by San Miguel County.

The August 11 Order also explains why other of the Plaintiff’s arguments are not persuasive, and that reasoning is also copied below.

The County did not impose the 1991 PUD’s regulations on Parcel C when it was rezoned in 2008. Neither the Town nor County clearly admitted that the rezone was intended to bring Parcel C’s zoning into conformity with the PUD Assignment Agreement, nor is that apparent on the face of the evidence associated with that process. *See Exhibits Q, R, S, T.*

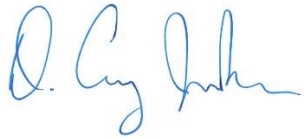
And as the August 11 Order concludes, Parcel C has not historically been regulated consistent with the 1991 PUD. The discovery response cited (*Exhibit J*) does not amount to the admission the Plaintiffs urge the Court to find, and that the Town applied for a RETA exemption can be innocently explained as an attempt to ease the closing process.

For these reasons, Parcel C is not part of the 1991 PUD.

III. Conclusion and Order

Plaintiffs' claim is denied because Parcel C is not subject to the 1991 PUD. Because the PUD provisions do not apply to the parcel, the Defendants are not required to comply with §24-67-106, C.R.S. or to bring a condemnation action pursuant to §38-1-101, C.R.S., to clear the 1991 PUD Plan's restrictions from title.

So Ordered this 5th day of March, 2025.



D. Cory Jackson
District Court Judge